

Candlesticks & Market Terminology

Every major candlestick type and a complete glossary of essential trading terms.

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The language of trading is built on candlestick patterns and market terminology. Knowing what each pattern signals — and what every term means — is the foundation of understanding and communicating about price action.

BULLISH PATTERN

Hammer

A candle with a small body near the top and a long lower wick. Signals that sellers pushed price down but buyers stepped in aggressively and pushed it back up. Bullish reversal signal when found at support after a downtrend.

BEARISH PATTERN

Shooting Star

A candle with a small body near the bottom and a long upper wick. Signals that buyers pushed price up but sellers overwhelmed them. Bearish reversal signal when found at resistance after an uptrend.

INDECISION PATTERN

Doji

A candle where the open and close are nearly identical, creating a very small body. Signals indecision between buyers and sellers. A doji after a strong trend can signal a reversal, especially when combined with high volume.

REVERSAL PATTERN

Bullish Engulfing

A large green candle that completely engulfs the prior red candle. Signals a strong shift from sellers to buyers. One of the most reliable reversal patterns when found at a key support level.

REVERSAL PATTERN

Bearish Engulfing

A large red candle that completely engulfs the prior green candle. Signals a strong shift from buyers to sellers. Reliable reversal signal at key resistance.

ESSENTIAL MARKET TERMINOLOGY

- Float: shares available for public trading. Low float = more volatile.
- Short interest: percentage of the float sold short. High = squeeze potential.
- RVOL: relative volume. How much volume today vs the average.
- VWAP: volume weighted average price — key intraday level.
- PDT rule: requires \$25,000 minimum to make more than 3 day trades per week in a margin account.
- Gap: when a stock opens significantly above or below the prior close.
- Bid/Ask spread: difference between what buyers will pay and sellers will accept.